

Foundational Factors

A compact three-factor core (momentum, mean reversion, carry) – each axis captures a structurally different source of cross-sectional return, so their blend is largely uncorrelated.

Foundational Factors integrates three orthogonal factors: momentum, mean reversion and enhanced carry. The momentum component captures assets with strong, persistent price trends; the mean reversion component captures assets with medium-term mean reversion effects; and the carry strategy seeks to profit from funding rates and related statistical price distortions.

All have been inspired by the academic literature, with proprietary enhancements.

Together, these factors create a diversified return stream designed to outperform in a range of market conditions.

The asset universe consists of the most liquid and actively traded assets, identified on a rolling basis – various techniques are employed to keep it both stable and relevant, as well as survivorship-bias free.

To balance each asset's risk contribution, positions are scaled according to the inverse of their rolling volatility.

The portfolio is rebalanced daily, with hourly updates provided, 5 minutes past the hour (UTC).

TOP 40 CROSS-SECTIONAL MULTI-FACTOR PORTFOLIO

Top 40 market-cap universe • 200% gross exposure (100% long / 100% short). Blends 3 orthogonal factors into one diversified, point-in-time stream; inverse-vol sized, rebalanced daily.

[Download Returns \(CSV\)](#) →

PERFORMANCE

Report Period Start Date Jan 2020 • End Date Jul 2026

Cumulative Returns

MTD	Last Month	1M	3M	YTD
1.0%	–5.0%	–4.8%	10.3%	9.6%

Annualised Returns (CAGR)

1Y	3Y	5Y	SI
36.0%	41.8%	32.2%	70.1%

RISK PROFILE

Realised Volatility (annualised)

1M	3M	1Y	3Y	5Y	SI
15.6%	21.2%	18.6%	21.6%	21.3%	27.9%

Max Drawdown

%	Date
–30.2%	2022-02-27

CUMULATIVE RETURN



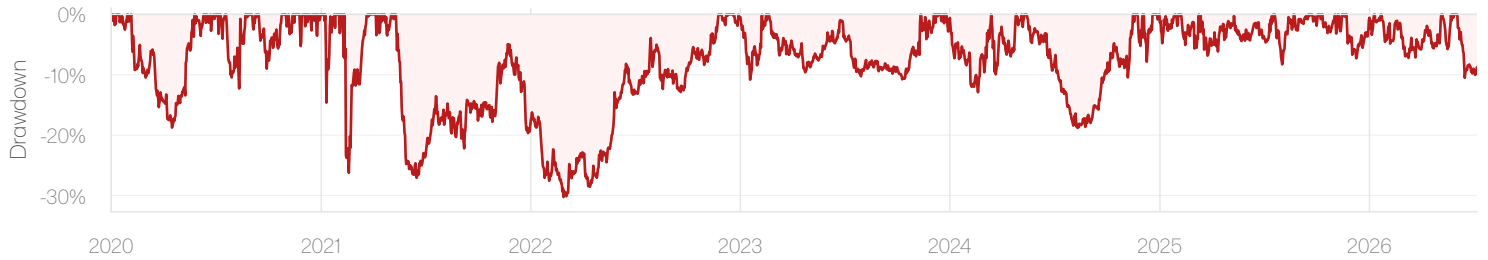
Note – Performance is for the Foundational Factors multi-factor portfolio (component factors blended and rescaled across the Top 40 universe, rebalanced daily); demonstrative only, not a tradable product. Past performance is not indicative of future results.

Portfolio Analysis

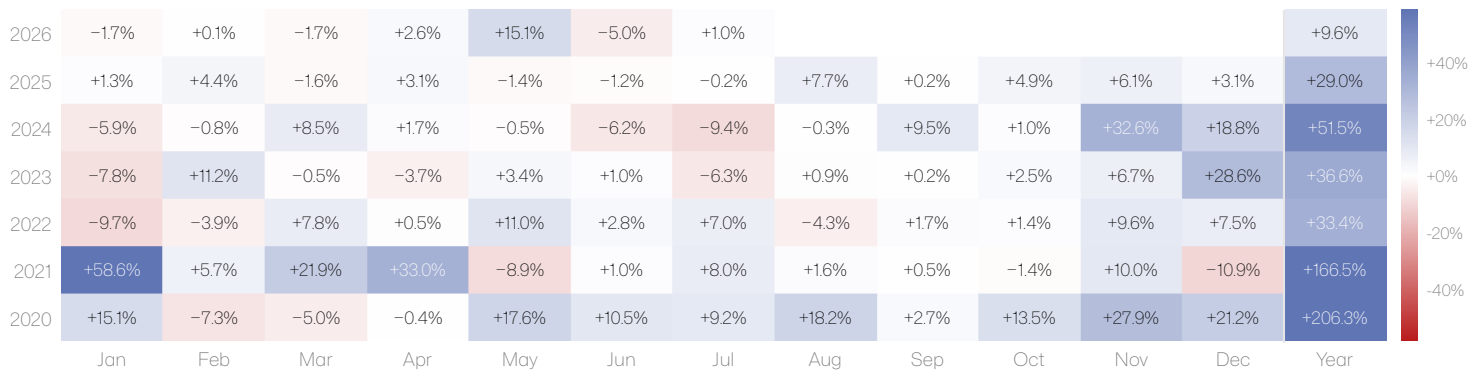
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Portfolio-level diagnostics for the live multi-factor strategy: the cumulative compounding profile shown on page 1 broken into its drawdown trajectory, calendar-month returns, rolling risk-adjusted return and rolling gross exposure. Constituents: Momentum, Mean Reversion, Enhanced Carry.

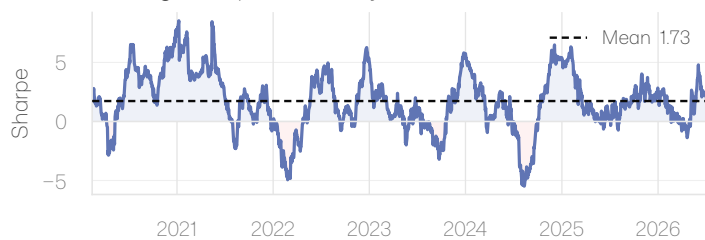
Drawdown



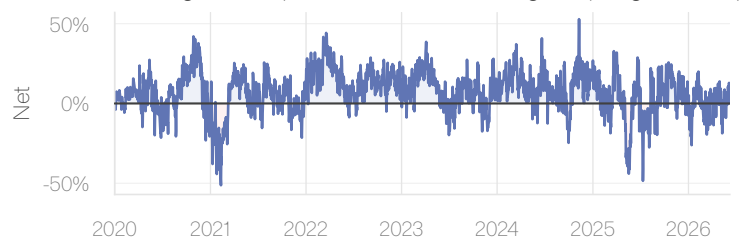
Monthly Returns • calendar-month, compounded



Rolling Sharpe • 90-day, annualised



Rolling Net Exposure • sum of weights (long – short)



ABOUT UNRAVEL

Unravel publishes a catalog of cross-sectional, market-neutral crypto factors – each with point-in-time history and live signals – designed to be combined into multi-factor portfolios that diversify away single-factor risk. Full catalog, methodology and API at unravel.finance; see the materials below.

[View this portfolio on unravel.finance](#) →

[Replication notebook – multi-factor construction](#) →

Have further questions? [Book a call with our team – unravel.finance/booking](https://unravel.finance/booking)

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